The CASE Act and Copyright Abuse

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Chapter 1. Introduction

Copyright is an issue that most Americans interact with in one way or another at some point in their lives. Intellectual property surrounds us, acting as a necessary ingredient in the melting pot that is popular culture. The right to create and capitalize on your creation is a fundamentally American principle. While copyright law can be rather costly and difficult to litigate, it has been proven that in being so, the power balance between the holder and the consumer is kept. Without this lengthy process, and especially in the era of the internet, holders are prone to acting in predatory ways, "trolling" for infringers as way to gain a secondary stream of income. While other abuses of copyright have come to light like police officers relying on *Digital Millenium Copyright Act (DMCA)* takedown notices to avoid being videotaped, most if not all return to overreaches in authority and greed.

Passed in December of 2020, *the Copyright Alternative in Small-Claims Enforcement (CASE) Act*, brings this power balance—the only safeguard against exploitation of the consumer—under threat. The CASE Act seeks to expedite the process of copyright litigation, lowering the cost for the holder to file suit, while supposedly lowering the monetary stakes for the infringer. While at first glance this change may seem ideal for both parties, it increases the likelihood of predatory acts, as the difficulty of litigating copyright law becomes far less complicated. In the digital era, copyright infringement has become incredibly easy to carry out. With current proof of infringement guidelines still in place, whether accidental or intentional, one can be slapped with life-ruining fines. Simply put, the punishment must match the crime. Moreover, the consumer must be protected from the big players who seek only to use infringement for exploitative purposes, seeking to protect only their pocketbooks and not the integrity of their work.

Chapter 2. Copyright Protections

Copyright law protects a copyrighted work for the following durations:

- The life of the author plus 70 years OR
- 95 years from the date of publication OR
- 120 years from the date of creation[1]

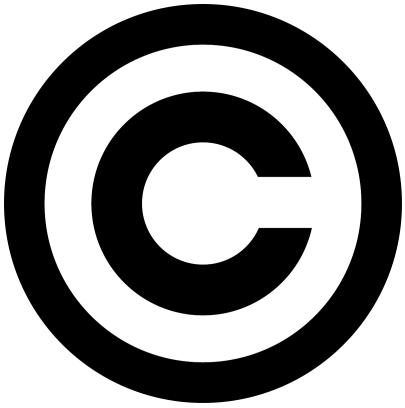
During this time, the holder receives the following exclusive rights:

- Right to reproduce the work.
- Licensing rights.
- Right to produce derivative works.
- Right to distribute copies of the work to the public by sale OR transfer ownership for a given period of time determined by the holder
- Right to display and perform work publicly.

In order to prove infringement, the holder must:

- Prove the defendant had access to the copyrighted work in question.
- Prove that the two works in question are substantially similar.

Figure 1. The Copyright Symbol



Statutory damages typically range from $750 to $30,000, however, if the infringement is determined to be willful, damages can reach up to $150,000. Traditionally, those who hold a copyright have faced the burden of protecting their copyrighted work, signing on for such a responsibility when they submit it to be copyrighted. Copyright laws are tort level, or civic rather than criminal, and exist between the author and the infringing party. Criminal violations do exist for copyright, however, this usually is a case of mass

1. Whichever occurs first.

production and is a rare occurrence. While copyright often does the necessary job of protecting a holder's livelihood, copyright holders must remain vigilant about their copyrighted work, as they are the party that initiates any legal action. This burden of vigilance, however, creates a balance between those who hold copyright and those who consume copyrighted content. Moreover, copyright law is often difficult to litigate and proceedings are often lengthy, taking months or years to adjudicate. Due to this lengthy process, legal fees often add up, outweighing the benefit of litigation. Consequently, the holder is met with the decision of whether or not moving forward with a violation is worth the time and money. However, without at least some of these barriers in place, the holder may gain too much power, exploiting the actions of the infringer in order to gain an independent revenue stream.

Chapter 3. Copyright Trolling

“Copyright trolling” is when holders vigilantly sue small infringements in order to get settlement money, prioritizing profit over fighting for the integrity of their creative works. One notable example of this abuse is the actions of Malibu Media, LLC. Malibu Media, an adult film producer, has garnered a reputation in the world of copyright law for trolling, using third party platforms to post their own content to torrent websites, tracking and trapping illegal downloaders. Malibu Media then sues individual IP addresses as a John Doe, subpoenaing internet service providers (ISPs) to reveal the identities behind each IP address. This practice, known as multiple defendant John Doe (MDJD) litigation, accounts for over 43% of copyright lawsuits filed in 2013, and has drastically increased since the 2000’s. Legal scholar, Matthew Sag explains it simply: *“The economic viability of MDJD litigation depends on suing as many defendants as possible in a single action to keep costs low and leveraging the threat of statutory damages in order to maximize the flow of settlement dollars.”*

Chapter 4. The CASE Act

The Copyright Alternative Small-Claims Enforcement or the “CASE” Act, signed into law December 2020, and is estimated to go into full effect beginning June of 2022.

The act creates a small-claims court within the United States Copyright Office known as the Copyright Claims Board (CCB). The CCB is a three-member tribunal whose job is to review claims and make a determination within 90 days, expediting the federal process which can take months or even years. The CCB is expected to review claims of infringement, claims for declaration of noninfringement (the issue of a legal statement that affirms a party is not liable for infringement), and claims of misrepresentation concerning DMCA takedown notices. Holders can file claims through the new CCB website for around $100. They may ask for $15,000 in damages per infringed work, with damages capped at $30,000. This system will be opt-in, meaning use of the CCB is not required. If the defendant so chooses, they can proceed down the federal court path. The literature of the bill itself and the newly minted CCB website tout a user-friendly quality to the court — accessibility for the layman, who is not explicitly encouraged to appear without representation, but is made aware that representation is not necessary.

Figure 2. The Copyright Claims Board Logo



Where does the concern lie in appearing in court without legal representation, with $30,000 on the line, in a system where holders need only pay $100 to file claims of infringement? If the goal is to make copyright litigation more accessible, the CASE Act, only does so for the holder. With the ever-increasing use of MDJD litigation, those who want to make a few dollars on the side fishing for illegal downloaders can now do so for cheap, racking up claims in order to shake down the consumer. If holders once found profits daring the consumer to violate their copyright, this will only increase tenfold under the CASE Act. Moreover, those who do so would certainly not risk appearing in court without legal representation, leaving the defendant at a huge disadvantage when facing the CCB should they be convinced by the Act’s rhetoric. The CCB’s determination is final, leaving the defendant with no ability to appeal. While $30,000 is significantly less than the willful infringement fine of $150,000, a CNBC article published in 2021 states that only 39% of Americans can afford even a $1,000 unexpected expense. Thirty thousand dollars in addition to all the accrued legal fees that come with any form of litigation still has the potential

to financially ruin the average American citizen. With so many Americans willing to knowingly violate copyright, the implementation of the CASE Act leaves the average one uninformed and at huge risk for being exploited financially, positioning large holders to increase their profits through settlement.

Chapter 5. Policy Alternatives

The following are two routes of action pertaining to the CASE Act.

Repealing the CASE Act

Is reverting back to the old way of doing things the best method to leveling the playing field? Without the CASE Act, the process of litigating copyright law is extensive, leaving both parties waiting for months on end for a decision from a federal court and draining the pockets of the defendant in the meantime. Due to the rise of the internet, the ease of committing copyright violations has increased tenfold. Because of the requirement that infringement claims be heard federally, copyright litigation has the potential to clog court dockets all for a relatively petty act. Additionally, should the CASE Act be repealed, the maximum amount awarded in statutory damages as it currently stands federally, does not reflect the cost of the crime of illegal downloading. The statutory damages awarded in such cases are often arbitrary, inconsistent, and excessive. One of the most striking examples, as legal scholar Matthew Sag points out in his article, is *"Capitol Records v. Thomas-Rasset, [where the] jury awarded statutory damages of more than $1.92 million against a defendant who had illegally downloaded about $54 worth of music…a ratio of more than 35,000 to 1."* It is because of this cost and waiting time that the defendant has a fighting chance, however, as the process goes on, the stakes increase. As time goes on the defendant faces larger financial ruin than they might face under the CASE Act and the punishment increasingly does not fit the crime.

Proceeding with the CASE Act

There is ongoing debate over whether the issue of copyright even warrants the creation of a separate small-claims court; that a tribunal that solely focuses on copyright is not necessary. A major factor to consider when addressing this concern, however, are the small-time copyright holders; the small business owners and independent artists who often face a difficult time financially when litigating violations of copyright. Oftentimes, in order to succeed creatively in this country, one must rely on the integrity of their original work. To be rid of a more accessible system would strip these small-time players of their right to a trial and ultimately their livelihood. With the ease the internet creates in committing copyright violations, and the rising prominence of MDJD litigation, there must be some measure put in place to make the process of copyright litigation more accessible, while still protecting defendants from financial exploitation. The CASE Act simply lowers the barrier for holders. While this is good for the small-time copyright holders, there are no measures in place to deter MDJD litigation and stop major holders from using the process to exploit defendants.

Chapter 6. Policy Recommendations

The following is a series of recommended adjustments to current CASE Act policy.

Maintaining a Separate Tribunal Court

Getting rid of a court whose sole focus is on copyright litigation in this day and age does not reflect the needs of our ever-changing digital society. Because violating copyright is so easy to commit, artists whose livelihoods depend on the integrity of their work deserve to have the means to protect it. The current system of litigation through federal court does not make the process of litigating copyright violation claims simple or cheap, turning holders away from investing in the process and draining the pockets of the defendant. Copyright cases congest the federal court system and are relatively petty in the face of other, more heinous cases. With a board whose focus is solely on copyright claims, the process can still be expedited and the cost to file claims can be kept lower, lessening the time one spends requiring legal counsel and therefore lowering the cost overall.

Reassessing Damages & Litigation Costs

As previously mentioned, the current trend for statutory damages in copyright litigation is often arbitrary, inconsistent, and excessive. The impressive ratio of damages to theft in Capitol v. Thomas (~35,000 to 1), is a testament to the corporate greed that the current system of copyright litigation enables. While the CASE Act attempts to amend this, capping damages at $30,000, this is still a large price tag for the average American. But, holders deserve an effective way to protect their expressive works; copyright violation is a civil wrong deserving of a remedy. The cost to download a typical music file on iTunes is around $1.29. Using this metric, were someone to illegally download around 20 music files, the total in theft rounds out to around $26.00. In Hashimoto & Samuelson's write up of a workshop created to discuss the implementation of the CASE Act, they point out that given precedent, claimants are likely to demand statutory damages in the maximum amount no matter the case. In the case of the $26.00 thief, with an award of $30,000 to the claimant, this is still a ratio of ~1100 to 1. Were damages to be capped at around $5,000, lowering the $26.00 thief's damage payment ratio to ~192 to 1, this would deter those who seek only to use copyright litigation as an independent revenue stream while keeping defendants from dealing with fines and fees that have the potential to ruin their lives. While this ratio is still rather unbalanced, it's a start, aligning more closely with the U.S. Supreme Court's guidance: *"few awards exceeding a single-digit ratio between punitive and compensatory damages, to a significant degree, will satisfy due process."*

One thing to note about lowering the cap on statutory damages is the cost-benefit ratio. If the recovery of damages for a claimant is expected to be only around $1,000, attorney fees might heavily outweigh such

a modest award. While this lowers the potential for holders to litigate violations of their copyright solely based on financial motivations, it also lowers the amount of attorneys who would be willing to take on such cases. Amending §412 so that holders are eligible for statutory damages and attorney fees could amend this issue, so might increasing the availability of pro bono or low-cost representation. The issue of return on investment needs to be addressed while attempting to eliminate copyright abuse.

Opening up the Process to Appeals

Because of the CASE Act's goal to make the process of copyright litigation speedier, the ability to appeal must be made available to the losing party. While the inability to appeal has been justified by the presence of a three-person tribunal rather than one deciding judge, there is still potential for bias, particularly if those appointed previously primarily represented holders rather than consumers. Because the world of copyright litigation is often fueled and funded by the big names of the entertainment industry, and those selected for the board are in some part required to have decent experience in copyright, the potential for biased selection is strong. Providing the losing party with the ability to appeal would ensure that even if the board is biased against the defendant, there remains a safeguard to stop overreach.

Establishing a Consumer Advocate Board

With questions of who makes up the three-person tribunal in mind, establishing some kind of consumer advocate board, whose role would be to ensure that the process does not in any way take advantage of the defendant would be appropriate. This board could operate within the U.S. Copyright Office, working closely with the CCB to monitor for occurrences of policy abuse among claimants. According to media law professor Daxton Stewart, copyright trolling cases are highly unfavored among the courts. This means establishing a board to monitor for this behavior would be favorable to those who hear copyright cases. Moreover, because legal representation has been deemed unnecessary for the defendant when using the CCB, the board could provide legal counsel and representation for those who stand to pay statutory damages for copyright violations. The board could also have a hand in providing a mediation process in lieu of facing the CCB.

Restricting MDJD Litigation

As it currently stands, joinder (the joining of defendants) in copyright litigation requires common questions of fact or law, and the defendant's actions must be found to be arising out of the same transaction, occurrence, or series of transactions or occurrences. Torrent sites segment large files into smaller pieces that can be downloaded in any order and pieced back together in a process known as "seeding," meaning it can be downloaded by several users simultaneously, known as the "swarm." In the past, MDJD litigation has often been allowed for instances of illegal downloading because all swarm participants are found to be involved in the same series of transactions or occurrences.

This allowance displays a fundamental misunderstanding of the way the internet operates. One illegal downloader can be acting in California while another is downloading the same file in Massachusetts. Sag specifies that a lower level of relatedness when allowing joinder is what plaintiffs, and specifically copyright trolls, have come to favor. Redefining the level of relatedness between defendants to mean those who have had direct contact with one another and acted together in participating in the same swarm when sharing files would decrease the frequency of MDJD litigation in instances of illegal downloading, preventing holders from using the practice for exploitative purposes.

Safeguards Against Trolling

Claimants who act in the opportunistic and exploitative manner known as “trolling” must be deterred and perhaps punished in some way. In order to do so, a definition for what counts as “copyright trolling” must first be created. Sag asserts this as a remedy to the issue of copyright abuse in his article, providing a rough definition: *“the essence of trolling is that the plaintiff is more focused on the business of litigation than on selling a product or service. The…troll plays a numbers game in which it targets hundreds or thousands of defendants, seeking quick settlements.”* While tightening guidelines of MDJD litigation and lowering the cap on statutory damages will likely deter this behavior, it is possible that holders may still seek to use copyright litigation as an independent revenue stream. Close attention to the character of claimants should be paid and repeat claimants, particularly those who have favored MDJD litigation in the past, should be questioned. If found to remain a prevalent issue following the adjustment of MDJD guidelines and decreased damages, disciplinary action in the form of the removal of an abusive claimant’s copyright or a fine can be implemented to further deter such abuse.

Chapter 7. Consulted Sources

The following are sources consulted in compiling this policy brief.

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